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Contents

Key takeaways	1
Introduction	2
How will tariffs impact exits, fundraising, and deals in European VC?	3
What do tariffs mean for the IPO window?	4
Conclusion	6

Tariffs and European VC: IPO Window Threatened First

Deals are insulated from the recent volatility, but the curtains are closing on a 2025 IPO window

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Key takeaways

- The exit market will feel the pain of tariffs first and most strongly, while deals will be the most insulated. We estimate that only 26.8% of European VC-backed companies produce goods, and revenue exposure is likely to be geared towards domestic end markets.
- Our forecasts show that the curtains are closing on an IPO window in 2025.
- The listings window is potentially pushed out to 2026, but vents may appear in 2025.

Introduction

Exits are most at risk, while deals are the most insulated. We provide an overview of the areas within venture capital (VC) that will be the most impacted by tariffs. It is clear that the exit market will be affected first and the most directly, followed by fundraising and then deals. We therefore focus this note mostly on exits, specifically the initial public offering (IPO) market, which [we have written about extensively](#). Deals are the most insulated, as we estimate that only 26.8% of European VC-backed companies produce goods. However, such insulation may not persist as the landscape evolves. The EU is considering adding tariffs on services as well as goods, specifically from US Big Tech companies.¹ Implications for fundraising and US investment into Europe will likely lag, but some impacts have already emerged.

The geopolitics handle is closing the IPO window. We have been writing about the proverbial IPO window in Europe over the past few years, noting five “handles” that are pivotal for opening a window. Over the past few weeks, it has become clear that the third handle, geopolitics, has derailed our thesis, with both valuations and volatility sliding into “closed window” territory. These shifts have coincided with several companies announcing plans to delay their listings, including eToro, StubHub, and, most notably, Klarna.

Our analysis points to an IPO window opening in H1 2026. Our forecasts, which utilise data from historical periods of market stress, see volatility returning to more favourable levels at the end of 2025 but valuations failing to improve till Q1 2026. Despite this, we think smaller “vents” may appear throughout 2025, as they did in 2024, as the market tries to capitalise on periods of favourable conditions. The pipeline of IPO candidates is ripe, but the road to their listings is now longer. As delays continue, we also expect some attrition from the backlog. For instance, several companies that delayed their listings in 2024 due to volatility did not reconsider listing when conditions improved in Q1 2025 but instead sought financing elsewhere in the private markets.

¹: “EU Could Tax Big Tech If Trump Trade Talks Fail, Says von der Leyen,” [Financial Times](#), 10 April 2025.

How will tariffs impact exits, fundraising, and deals in European VC?

The exit market will feel the pain of tariffs first and most strongly. Deals will be the most insulated. Whilst visibility is low across venture stakeholders globally, volatility always impacts exit activity in the VC ecosystem first and with the most force. We expect some repercussions in other areas of the ecosystem as well. European fundraising and inflows from US investors could be affected as US investors retreat to domestic markets. Private-investor bellwether Andreessen Horowitz already closed its UK office this year following the election of President Donald Trump.² A more domestic focus amongst countries could inhibit cross-border investment as well as capital raised. We think deal activity will follow in severity of impact, as most of the VC-backed ecosystem is geared towards services instead of goods. We estimate that 73.2% of the venture ecosystem in Europe sits in services, meaning deal activity should be fairly insulated from direct impacts. Therefore, only 26.8% of European VC-backed companies produce goods, and revenue exposure is likely to be geared towards domestic end markets. Furthermore, for firms that produce goods, it is unlikely they will be broadly exposed to international markets given that most of them sit in the earlier part of the equity market.

Uncertainty adds a wait-and-see approach to all areas of the VC ecosystem. Better capitalised and more experienced investors and startups will be better placed to continue to do deals, as seen with Alphabet, which confirmed its \$75 billion investment in data infrastructure on 10 April,³ and Microsoft and Meta continuing their commitments to large AI investments this year. In the long term, reduced capital inflows into dealmaking overall could result from decreased fundraising in Europe, although this is likely to be felt at a lag.

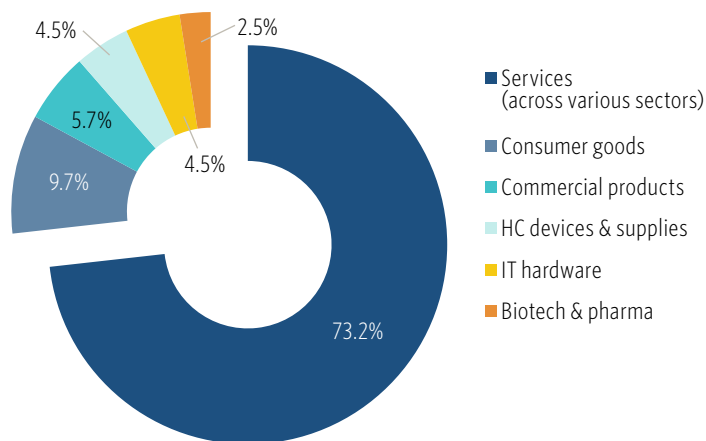
However, there could be exceptions for services within US tech. The European Commission and other nations have considered targeting US Big Tech companies in tariff negotiations. The potential scale of this adds to the list of unknowns. It could also indirectly impact sentiment around deal activity in Europe. France has been vocal in this regard, with the government stating that digital services, including those provided by Google, Amazon, Facebook, Apple, and Microsoft, will be included in the EU's tariff response.⁴ Elsewhere, the more indirect impacts of higher-for-longer interest rates will feed through to valuations, with higher rates and inflation eroding consumer purchasing power and impacting demand for consumer-gearred sectors.

2: "Andreessen Horowitz Closes UK Office, Pivots Back to US Crypto Market," Sifted, Tom Matsuda, 24 January 2025.

3: "Alphabet Confirms \$75bn Investment for 2025 Amid Tariff Uncertainty," Verdict, 10 April 2025.

4: "France Singles Out Digital Services for EU's Tariff Response," Euractiv, Jacob Wulff Wold and Thomas Moller-Nielsen, 3 April 2025.

Share of VC-backed company count by industry (services versus goods)



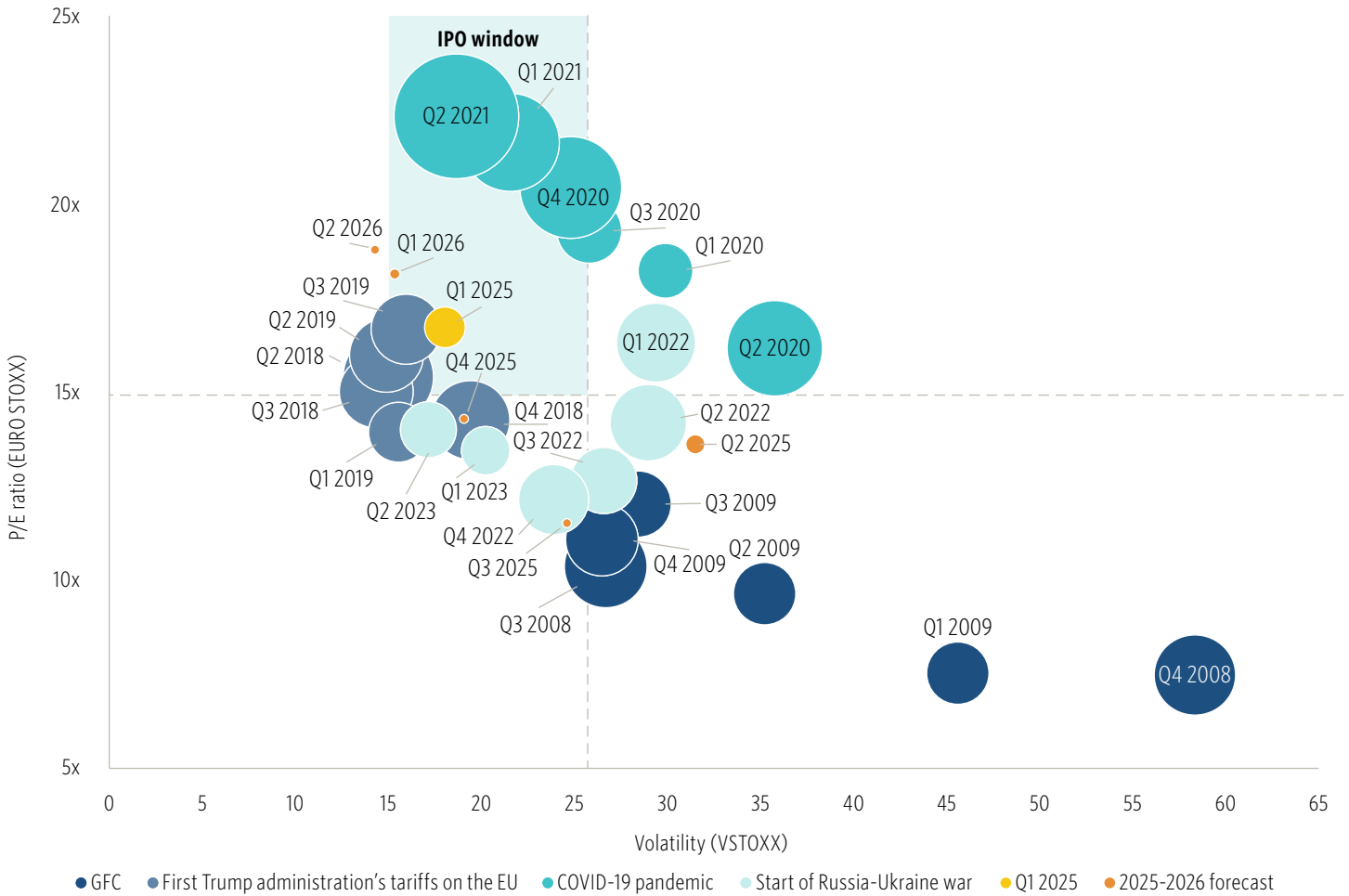
Source: PitchBook • Geography: Europe • As of 14 April 2025

Note: This chart includes only active VC-backed companies. Active companies are those that have raised at least one VC round since 2015, have not had a VC exit, or have not been marked as out of business.

What do tariffs mean for the IPO window?

Our forecasts show the curtains are closing on an IPO window in 2025. We examined previous periods of stress in financial markets, such as the COVID-19 pandemic, the start of the Russia-Ukraine war, and even the first Trump administration's tariffs imposed on the EU. We chose the global financial crisis (GFC) as a reference period given the systemic economic shock, spike in volatility, and decline in valuations it caused, similar to what we are seeing in markets now. Our IPO window model shows how these valuation and volatility metrics could pan out in the rest of the year if they follow the same patterns after the peak volatility seen during the GFC. Our forecasts show that Q2, Q3, and Q4 will fall outside the price/earnings (P/E) ratio and volatility thresholds for an IPO window. Volatility recovers in Q4, but valuations do not recoup enough for a window. This outcome could be likely: Even if markets stabilise from a volatility perspective, inflationary pressures and already weak growth prospects globally could slow interest rate cuts this year, leading valuations to continue to correct from already elevated levels last year.

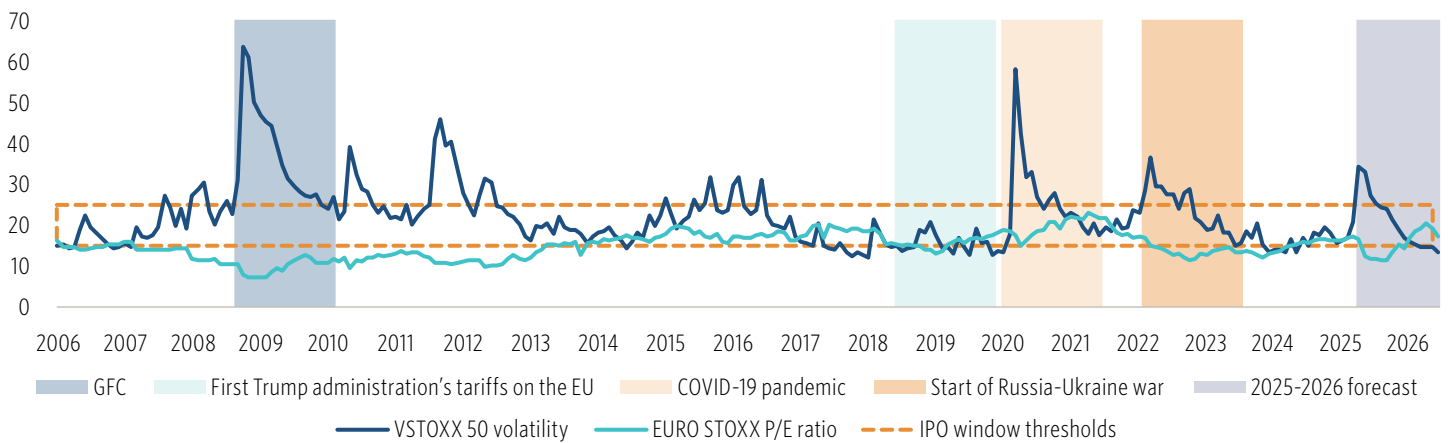
Quarterly IPO count by select metrics and period



Source: PitchBook • Geography: Europe • As of 14 April 2025

Note: Bubble sizes represent quarterly IPO counts. The P/E ratio and volatility measures are monthly averages.

VSTOXX 50 volatility index and EURO STOXX P/E ratio



Source: PitchBook • Geography: Europe • As of 14 April 2025

The listings window is potentially pushed out to 2026, but vents may appear in 2025. Our forecasts show that only in H1 2026 do valuations and volatility start to recover to favourable levels for listings to pick up, a dynamic we saw for a short time in Q1 of this year. It is also probable that the market moves into more of a vent-based mentality, similar to what we saw in 2024, where firms make use of short periods of favourable conditions. It remains to be seen whether firms will continue to do due diligence so they will be ready when conditions are favourable, or if once due diligence is postponed, the road to an IPO will be even longer. Several firms that delayed in 2024 due to volatility, such as Golden Goose and Tendam,^{5, 6} did not come back to publicly list but found other means of financing within private markets. Themes [we have previously written about, such as venture debt and secondaries](#), could also facilitate continued neglect of public financing and become even more popular as volatility persists throughout the year. Therefore, the pipeline of companies will continue to grow, as a pushed-back window is now the new normal in our thesis.

Conclusion

Overall, the impacts of tariffs will be felt the most across exit markets, while implications are still emerging for deal activity. Despite only 26.8% of European venture-backed firms producing goods, talks about penalising services, primarily within US Big Tech, are increasing. This could have ramifications for the rest of the tech ecosystem in Europe. For exits, we expected geopolitics to play a key role in the potential opening (or closing) of an IPO window in Europe, and that appears to be playing out. Since the start of the year, however, unexpected volatility and declining valuations have pushed out our IPO window expectations, with our forecasts now pointing to a window in 2026. Visibility is low, and we could also see a scenario where IPO candidates have to optimise shorter periods of market stability (vents) and a few firms test the listing waters.

Clearly, the situation is fluid, and the list of unknowns is growing, adding to volatility. However, it is evident that current market conditions set up yet another challenging year for VC exits. Even outside of public listings, valuations in other exit strategies may also come under pressure, forcing investors to find other means to generate liquidity.

5: "Golden Goose Shows How IPO Turnabouts Bide Time With Stake Deals," Bloomberg, Pablo Mayo Cerqueiro, 11 February 2025.

6: "Abu Dhabi's Multiply Buys 67.9% Stake in Spanish Retailer Tendam," Reuters, Andres Gonzalez and Corina Pons, 25 February 2025.